SHAPING TOMORROW · DECISION INTELLIGENCE

The Summer the Dollar Blinked

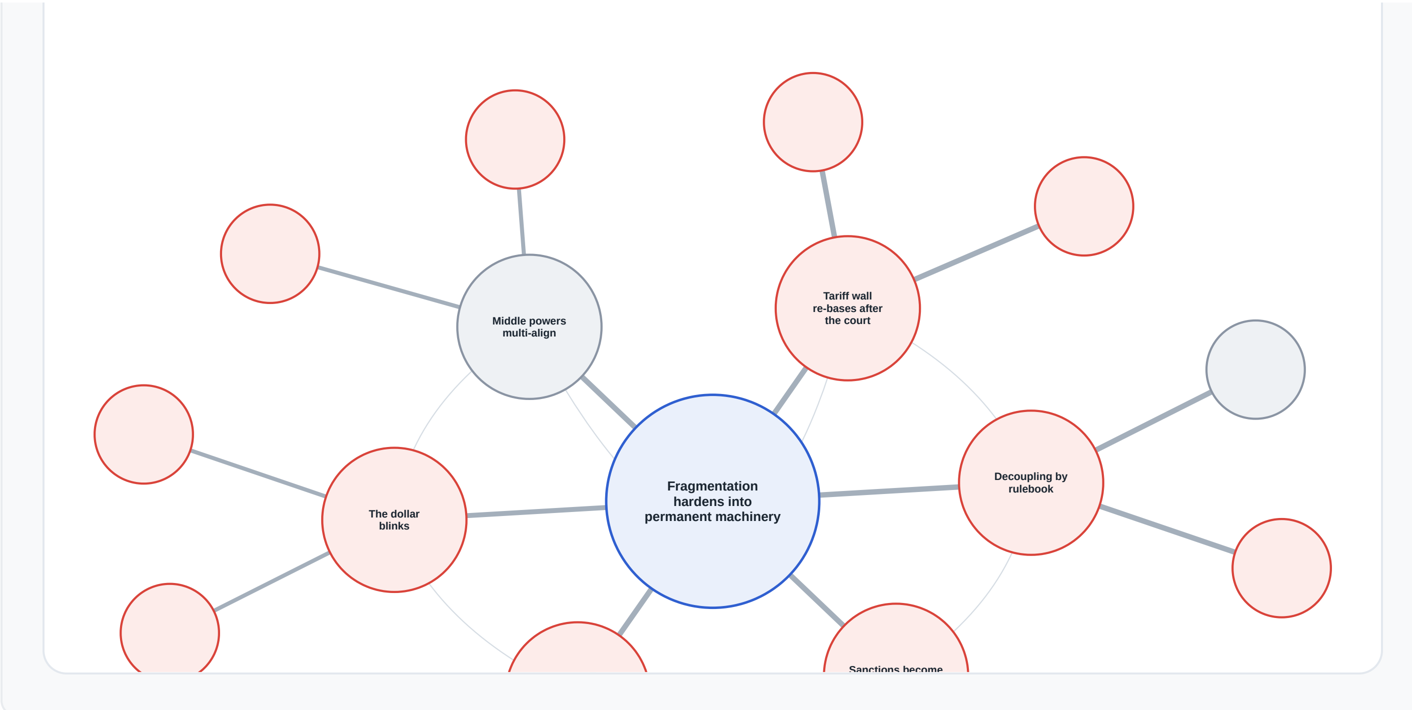
Edition 2 in the Geopolitics & Economic Fragmentation series. Previous Decision Intelligence report: 'Operating Where Consensus Is Gone' (May 2026).

Cycle: 29 July 2026 · Audience: strategy teams planning across multiple geopolitical realities · Horizon: 2 to 5 years primary, 5 to 10 years secondary

Read estimate: 3 min Executive Synthesis · 22 min full read

Contents

risk · opportunity · mixed/neutral · impact × likelihood: high · med · low



What you'll learn

1. Why the tariff wall outlived the Supreme Court: IEEPA and Section 122 were struck down, yet the barrier migrated to Section 232 and USMCA converted to annual reviews.
2. Why the H200 reopening to China is a leashed reopening, not free trade, and why three non-fungible tech rule-stacks are now the operating reality.
3. Why sanctions have become standing plumbing at package 21, and why the mineral weapon now points in both directions at once.
4. Why the dollar blinked, a dip below 57 percent then a rebound, while gold passed Treasuries and reserves quietly multi-aligned.

Key takeaways

1. The Supreme Court voided the IEEPA tariffs on 20 February 2026 and the CIT struck Section 122 on 7 May, but a 6 April Section 232 proclamation rebuilt the wall at up to 50 percent, and USMCA was not renewed on 1 July.
2. The H200 reopening carries a 50 percent sales cap and a 25 percent export fee; China's domestic AI-chip share is projected near 50 percent in 2026, so decoupling runs on rulebooks, not a clean split.
3. The EU's 21st sanctions package (23 July) froze 94 banks and 632 shadow-fleet vessels; China paused rare-earth controls to November 2026 while adding magnet and defence restrictions and a 22 June entity ban on MP Materials.
4. The dollar's reserve share fell to 56.4 percent in Q4 2025, a multi-decade low, then rebounded to 57.1 percent; gold reached 27 percent of official reserves at market value, above Treasuries at 22 percent.

Executive Synthesis

Why this matters now

This summer, fragmentation stopped being the risk to plan around and became the operating system itself, and even the dollar blinked. The tariff wall lost in court and came back on other authorities, sanctions reached their twenty-first package, and the mineral weapon learned to point in two directions, while the dollar's reserve share dipped below a level it had held since the 1990s before steadying. The May cycle, "Operating Where Consensus Is Gone", named the world where a single product now meets several non-fungible rule-stacks at once; this cycle records those stacks hardening into standing, legally re-based machinery that will not unwind on its own. Fragmentation is no longer the contingency to plan around; it is the operating system.

Four shifts this cycle records, and the pattern that names them:

- **The tariff wall outlived the court.** IEEPA and Section 122 were struck down; the barrier migrated to Section 232, and USMCA turned into an annual review rather than a renewed agreement.
- **Decoupling runs by rulebook.** The H200 reopening is conditional, and three tech stacks, a US export-control stack, an EU digital stack and a Chinese self-reliance stack, are the standing operating reality.
- **Coercion became plumbing.** Sanctions reached package 21 and the mineral weapon now points both ways, from Beijing's magnet controls to Washington's friendshoring stockpile.
- **The dollar blinked.** Reserve share slipped below 57 percent and recovered, gold passed Treasuries at market value, and middle powers kept hedging rather than choosing a bloc.

This cycle names the variable that will decide how the next five years are planned: not whether fragmentation is real, the May cycle settled that, but whether firms treat the machinery as permanent and price for it, or keep waiting for a convergence that the summer's evidence says is not coming. Four developments carry the pattern.

First, the tariff wall outlived the court that struck it down. The Supreme Court held on 20 February 2026 that IEEPA does not authorise the President to impose tariffs, and the IEEPA duties terminated on 24 February; the Court of International Trade then struck Section 122 in May. Yet the barrier did not fall. A 6 April proclamation rebuilt it under Section 232 in a tiered structure reaching 50 percent on primary metals, and on 1 July the United States declined to extend USMCA, so USMCA now runs as an annual review to 2036 rather than a renewed agreement. The legal base changed; the wall stayed.

Second, decoupling now runs by rulebook rather than by a clean split. The H200 reopening that BIS set out in January is a leashed reopening: CNAS estimates that China could buy roughly 890,000 H200-equivalents under a 50 percent sales cap, with a 25 percent charge acting as an export fee, against a domestic capacity near 390,000. China's own domestic AI-chip share rises toward 50 percent in 2026, the EU's high-risk AI deadlines slipped to 2027 and 2028, and Brussels concedes it makes under 10 percent of global chips. Three rule-stacks, not one market, are the operating reality.

Third, coercion has become plumbing. The EU adopted its 21st sanctions package on 23 July, freezing 94 banks and 632 shadow-fleet vessels and, per Mayer Brown, holding the oil price cap to 2027, while the reparations loan of about 140bn euros would mortgage immobilised Russian reserves to fund Ukraine. In parallel the mineral weapon turned two-way: China paused enhanced rare-earth controls to November 2026 while its magnet and defence controls bite on defence supply chains and it added a 22 June dual-use export ban on MP Materials, even as Washington moved to end adversary-sourcing waivers from 2027.

Fourth, and most quietly, the dollar blinked. IMF COFER data show the dollar's reserve share fell to 56.4 percent in Q4 2025, a multi-decade low, before rebounding to 57.1 percent in Q1 2026; the ECB reports that gold reached 27 percent of official reserves at market value, above Treasuries at 22 percent; and a record 45 percent of central banks expect to add gold. This is a flinch, not a fall, but it is the summer's clearest sign that fragmentation has reached the monetary core.

The wall lost in court and came back anyway. That is the shape of the whole cycle.

The historical rhyme worth holding is the 1970s transition off the gold-dollar peg: the system did not break in a single week, it repriced quietly over years while officials insisted the old order held. The risk this cycle names is the same shape. Planners who treat each ruling, package and quota as a reversible shock, rather than as the visible edges of durable machinery, will keep sizing decisions for one operating environment when the evidence says there are several.

Where this analysis could be wrong

The most consequential assumption is that the machinery is durable rather than a spike that a change of administration or a trade truce could unwind. If the Section 232 wall is litigated down as IEEPA and Section 122 were, if the H200 reopening widens into genuine trade, and if the dollar's Q1 2026 rebound to 57.1 percent marks a floor rather than a pause, then "permanent machinery" overstates a cyclical peak, and the correct posture is to hedge lightly and wait. The falsifiable tests: whether Section 232 duties survive their own court challenges through 2027; whether the dollar's reserve share stabilises above 57 percent for four consecutive quarters; and whether a USMCA extension is agreed at any annual review before 2029. Signals to watch: a Section 232 ruling, four clean COFER prints, and a trilateral USMCA extension.

What this cycle establishes

1. **The tariff wall re-based, recorded.** IEEPA and Section 122 fell; Section 232 carries the wall and USMCA turned annual. The open variable is whether the 232 base survives its own litigation.
2. **Decoupling by rulebook, recorded.** The H200 reopening is conditional and three tech stacks stand. The open variable is whether the reopening widens or the case-by-case regime reverts to denial.
3. **Coercion as plumbing, recorded.** Sanctions reached package 21 and mineral controls run both ways. The open variable is whether the China rare-earth pause holds past November 2026.
4. **The dollar blinked, recorded.** Reserve share dipped and rebounded while gold passed Treasuries. The open variable is whether the rebound is a floor or a pause.
5. **Name the pattern: the machinery holds.** Each thread hardened from announcement into standing, legally re-based machinery, so the planning question

shifts from if to how permanently.

Each is developed below, with a decision posture, in the four Strategic Implications.

Continuity ledger: resolving the May cycle's dated commitments

The May edition fixed seven watch-items for this cycle to grade. Six resolved toward permanence; one remains pending.

May watch-item	Status	What resolved
USMCA July 2026 joint review	RESOLVED	The US declined to extend; USMCA now runs as an annual review to 2036, not a renewal.
BIS H200 licence regime	RESOLVED	Case-by-case licensing held as a conditional reopening: a 50 percent sales cap and 25 percent export fee, per CNAS.
EU AI Act Omnibus VII timing	RESOLVED	The Digital Omnibus deferred high-risk deadlines to December 2027 and August 2028 with fixed dates.
EU 21st sanctions package	RESOLVED	Adopted 23 July, hitting energy, finance and crypto: 94 banks frozen, 632 shadow-fleet vessels.
Chinese rare-earth status	RESOLVED	Paused to November 2026, but with new magnet and defence controls and a 22 June entity ban.
Critical-minerals reserve procurement	PARTIAL	A July executive action moves to end adversary-sourcing waivers from 2027; the MP price floor anchors domestic supply.
ISEAS 2026 Southeast Asia survey	PENDING	The China lean held: 52 to 48 for China when forced to choose; the 2027 read is the next test.

Audience Snapshots

Four functional lenses on the same intelligence base. Each card names the shift and the single question this cycle puts to that function's leadership.

MULTINATIONAL CORPORATE (WESTERN-HQ, MULTI-BLOC)

Are you pricing for one operating environment, or the several the rulebooks now require?

The shift: the H200 reopening is conditional, tariff wall rebuilt on Section 232, and USMCA turned annual, so a single product now meets several non-fungible rule-stacks at once rather than one converging market.

The question to brief: should we stand up a multi-stack operating model, with product, tax and compliance sized for three rulebooks, before FY27 planning closes?

CAPITAL ALLOCATOR (SOVEREIGN WEALTH, PENSION, ENDOWMENT)

Is your reserve and portfolio mix reading the dollar's blink, or the last decade's dollar?

The shift: the dollar's reserve share dipped below 57 percent then rebounded, the ECB reports that gold passed Treasuries at market value, and 74 percent of central banks expect lower dollar holdings over five years.

The question to brief: should we set an explicit gold and non-dollar reserve-asset baseline and review it against the COFER prints each quarter?

NATIONAL-SECURITY & TRADE POLICYMAKER (G7 / OECD)

Is your tariff and export-control base litigation-proof, or the next thing a court unwinds?

The shift: IEEPA and Section 122 were struck down, the wall rebuilt on Section 232, while the EU's 21st sanctions package and China's two-way mineral controls show coercion is now continuous rather than exceptional.

The question to brief: should we anchor measures on durable statutory authorities and continuous enforcement, rather than emergency powers a court can void?

MIDDLE-POWER FIRM (ASEAN, GULF, LATAM, INDIA)

Is multi-alignment your strategy, or an accident you have not yet priced?

The shift: ASEAN leans 52 to 48 to China, India chairs a BRICS building local-currency rails, and the Gulf hedges between security and diversification.

The question to brief: should we make multi-alignment an explicit posture, with dual supply, dual settlement and dual compliance, rather than a run of ad hoc exceptions?

Themes

*The cycle's signals are organised into four themes, ranked by impact on near-term decisions. **Immediate**: changes H2 2026 / H1 2027 capital, sourcing or compliance decisions. **Near-Term**: changes competitive position over the next twelve months. **Longer-Range**: a multi-year shift to track each cycle.*

1. The Tariff Wall Outlived the Court: the barrier migrated from IEEPA to Section 232 and USMCA turned annual

IMMEDIATE

The tariff wall lost in court and returned on other authorities. The Supreme Court voided the IEEPA tariffs on 20 February 2026, and the Court of International Trade struck the Section 122 replacement on 7 May, yet a 6 April proclamation rebuilt the barrier under Section 232 at up to 50 percent on primary metals, and on 1 July the United States declined to extend USMCA, converting it into an annual review to 2036. For planners the legal base changed but the wall held, and the review calendar turned a one-off risk into an annual event.

The wall that outlived the court, in four numbers

IEEPA VOIDED	SECTION 232	USMCA	MEXICO INVEST
6-3	**50%**	**annual**	**~10%**
SCOTUS strikes IEEPA tariffs	rebuilt wall on primary metals	review to 2036, not renewed	y/y drop in investment
20 Feb 2026	6 Apr 2026	1 Jul 2026	CSIS, Mar 2026

The tariff barrier in four numbers. Source: US Supreme Court, Miller Nash, USTR, CSIS.

- The Supreme Court held on 20 February 2026, by 6-3, that IEEPA does not authorise the President to impose tariffs. US Supreme Court (20 February 2026).
- The IEEPA duties terminated on 24 February and a 10 percent Section 122 tariff took effect, capped by law at 150 days. Covington (27 February 2026).
- The Court of International Trade struck Section 122 as ultra vires on 7 May, while a 6 April proclamation expanded Section 232 to a tiered structure reaching 50 percent on primary metals. Miller Nash (8 July 2026).
- The United States declined to extend USMCA on 1 July, so the deal now runs as an annual joint review to 2036. USTR (1 July 2026); White & Case (2 July 2026).
- Under Article 34.7 the Commission must now review the agreement every year until an extension is agreed or it expires in 2036. worldtradelaw.net (1 July 2026).
- The bilateral review launched only on 18 March amid a roughly 10 percent year-over-year drop in investment in Mexico and over 100,000 Canadian jobs lost early in 2026. CSIS (27 March 2026).
- The IMF projects world trade-volume growth falling from 5.1 percent in 2025 to 2.8 percent in 2026, with long-term fragmentation losses of 0.3 to 7.0 percent of GDP. IMF WEO (April 2026).

- The NATO Parliamentary Assembly warns extreme fragmentation scenarios could cut some countries output by up to 10 percent. NATO PA (11 October 2025).

Counter-argument

The wall may prove as litigable as the authorities it replaced. Section 232 rests on a national-security finding that courts have policed before, the USMCA calendar leaves an extension possible at any annual review, and a future administration could lift the duties by proclamation as fast as they arrived. The falsifiable test is whether Section 232 duties survive their own challenges through 2027. The actors to watch are USTR, the Court of International Trade and the trade ministries of Mexico and Canada.

Weak signals to watch

- WEAK SIGNAL A Section 232 challenge could unwind the rebuilt wall as IEEPA fell. Would gain weight if a court enjoins the primary-metals tier.
- WEAK SIGNAL The annual USMCA review could become a rolling renegotiation of rules of origin. Would gain weight if 2027 talks reopen automotive content thresholds.

Decision link: Strategic Implications 1 and 3.

2. Decoupling by Rulebook: the H200 reopening is conditional and three tech stacks are the operating reality

IMMEDIATE

Decoupling now runs by rulebook rather than by a clean split. The H200 reopening BIS set out in January is metered, not freed: case-by-case licensing, a 50 percent sales cap and a 25 percent charge that works as an export fee. Around it three non-fungible stacks have hardened, a US export-control stack, an EU digital stack whose high-risk AI deadlines slipped to 2027 and 2028, and a Chinese self-reliance stack whose domestic AI-chip share is projected near 50 percent in 2026. A single model or chip now meets three rulebooks, and that is the operating reality.

Decoupling by rulebook, in four numbers

H200 CAP	CHIP MATH	CHINA AI CHIP	EU AI ACT
50%	**890k**	**~50%**	**2027**
of US sales, plus 25% export fee	vs ~390k domestic chips	domestic share projected 2026	high-risk rules slip to 2027-28
CNAS, Jan 2026	CNAS, Jan 2026	CSIS, Mar 2026	Gibson Dunn

The three-stack reality in four numbers. Source: CNAS, CSIS, Gibson Dunn.

- BIS shifted the H200 and equivalents to case-by-case licensing for China, conditioned on US-customer capacity, purchaser screening and third-party US testing. BIS (13 January 2026).
- Under the 50 percent sales cap and a 25 percent charge acting as an export fee, China could buy about 890,000 H200-equivalents against a domestic capacity near 390,000. CNAS (16 January 2026).
- A 25 percent Section 232 tariff on advanced logic and memory chips took effect 15 January 2026, with seven end-use exemptions. White & Case (21 January 2026).
- Nvidia prepared to ship roughly 80,000 H200 GPUs to China from mid-February with a 25 percent revenue share to the US Treasury. Tom's Hardware (23 December 2025).
- TrendForce projects China's domestic AI-chip share rises toward 50 percent in 2026, with Chinese-made chip equipment at 25 to 35 percent share. CSIS (24 March 2026).
- The EU Digital Omnibus deferred high-risk AI obligations from August 2026 to December 2027 and August 2028, replacing the conditional trigger with fixed dates. Gibson Dunn (27 May 2026).
- Only 13.75 billion euros of aid was approved under the 2023 Chips Act against a 43 billion target, and the Commission concedes the EU makes under 10 percent of global chips. Bruegel (13 May 2026).

- BIS suspended the Entity List 50 percent affiliates rule to 9 November 2026, while MERICS finds China's self-reliance remains aspirational. Federal Register (12 November 2025); MERICS (22 July 2025).

Counter-argument

The reopening could widen into genuine trade rather than stay leashed. If licences flow, the 25 percent fee reads as a revenue tool that normalises exports, and China's domestic push slows as it re-accesses frontier chips, then the three-stack picture eases toward managed interdependence. The falsifiable test is whether case-by-case approvals rise through 2026 or revert to denial. The actors to watch are BIS, Nvidia and China's MOFCOM.

Weak signals to watch

- WEAK SIGNAL The 25 percent export fee could become a template applied to other controlled goods. Would gain weight if a second product category adopts a revenue-share licence.
- WEAK SIGNAL EU deadline slippage could harden into de facto non-enforcement. Would gain weight if the 2027 high-risk date slips again.

Decision link: Strategic Implications 1 and 3.

3. Coercive Supply Chains: sanctions reached package 21 and the mineral weapon now points both ways

NEAR-TERM

Economic coercion has become a standing function rather than an exceptional act. The EU reached its 21st sanctions package on 23 July, freezing 94 banks and 632 shadow-fleet vessels and holding the Russian oil price cap to 2027, while a proposed reparations loan would mortgage immobilised reserves to fund Ukraine. In parallel the mineral weapon turned two-way: China paused its US-focused rare-earth licensing to November 2026 while adding magnet and defence controls and an entity ban on MP Materials, even as Washington moved to end adversary-sourcing waivers from 2027. Compliance and supply-chain teams now run this as continuous work.

Coercion as standing plumbing, in four numbers

EU PACKAGE	FROZEN ASSETS	RARE-EARTH	US STOCKPILE
21st	**~140bn**	**Nov 2026**	**2027**
94 banks frozen, 632 vessels	euro reparations loan proposed	China pause ends; magnet curbs add	adversary waivers end; MP floor
Council, 23 Jul	Delors, Feb 2026	Clark Hill/CSIS	White House, Jul

The coercion machinery in four numbers. Source: EU Council, Institut Delors, Clark Hill, CSIS, White House.

- The EU's 21st package added 218 listings, froze 94 banks, banned 14 crypto platforms and designated 41 more shadow-fleet vessels, bringing the total to 632. EU Council (23 July 2026).
- The package also froze the Russian oil price cap to 14 July 2027, barring EU operators from renegotiating terms on Russian crude. Mayer Brown (24 July 2026).
- The proposed reparations loan of about 140 billion euros would draw on cash tied to immobilised reserves, of which Euroclear holds an estimated 185 billion of 300 to 330 billion frozen. Institut Delors (February 2026).
- China's October 2025 magnet controls, effective 1 December, auto-reject military end-uses and reach magnets with even trace Chinese material, hitting systems such as the F-35. CSIS (9 October 2025).
- MOFCOM paused the enhanced US-focused rare-earth licensing to 27 November 2026, a pause for recalibration, not reconciliation. Clark Hill (24 November 2025).
- In February 2026 China shipped only about 20 tonnes of yttrium to the US against over 66 tonnes in January 2025, so flows stayed restricted despite the truce. CSIS (27 April 2026).

- On 22 June 2026 China added 10 US entities, including MP Materials, to its export-control list with immediate effect. Benchmark Mineral Intelligence (25 June 2026).
- The IEA finds China supplied over three-quarters of refined-supply growth for key minerals; a July executive action ends adversary-sourcing waivers from 2027, and the MP Materials deal set a 110 dollar/kg price floor. IEA (16 July 2026); White House (20 July 2026); Columbia CGEP (11 July 2025); Argus on Indonesia's nickel-quota cut (11 February 2026).

Counter-argument

The two-way weapon could de-escalate faster than it built. The China pause is dated to November 2026 and the truce could extend it; the reparations loan still faces Belgian and central-bank objections that have stalled it before; and fatigue could blunt package 22. If the truce holds and the loan stalls, coercion plateaus rather than compounds. The falsifiable test is whether the rare-earth pause is renewed past November 2026. Actors to watch: MOFCOM, the European Council and OFAC.

Weak signals to watch

- **WEAK SIGNAL** The reparations-loan precedent could migrate to other frozen-reserve pools. Would gain weight if a non-EU holder mortgages Russian assets.
- **WEAK SIGNAL** China's entity-list bans could widen from defence names to commercial magnet buyers. Would gain weight if a major automaker is designated.

Decision link: Strategic Implications 2 and 3.

4. The Quiet Repricing: the dollar blinked below 57 percent, gold passed Treasuries, and reserves multi-align

LONGER-RANGE

Beneath the trade and sanctions story, the monetary system repriced. The dollar's reserve share fell to 56.4 percent in the fourth quarter of 2025, its lowest since the 1990s, then rebounded to 57.1 percent, a blink rather than a break. But gold reached 27 percent of official reserves at market value, above Treasuries at 22 percent, a crossover last seen in the 1990s; central banks bought 863 tonnes in 2025 and a record share plan to add more; and middle powers kept hedging, with ASEAN leaning to China and India chairing a BRICS building local-currency rails. The store of value is migrating even as the dollar holds transactional dominance.

The quiet repricing, in four numbers

DOLLAR SHARE	GOLD SHARE	CB GOLD 2025	ASEAN LEAN
56.4%	**27%**	**863t**	**52/48**
Q4 2025 low, then 57.1%	tops Treasuries at 22%	bought; 45% to add more	prefer China when forced
IMF COFER	ECB, Jun 2026	WGC, 2026	ISEAS, Apr 2026

The monetary repricing in four numbers. Source: IMF COFER, ECB, World Gold Council, ISEAS.

- The dollar's share of allocated reserves fell to 56.4 percent in Q4 2025, a multi-decade low, before rebounding to 57.1 percent in Q1 2026. IMF COFER (1 July 2026).
- At end-2025 gold reached 27 percent of official reserves at market value, above US Treasuries at 22 percent, though valuation-adjusted Treasuries remain higher. European Central Bank (2 June 2026).
- A record 45 percent of central banks expect their own gold reserves to rise, and 74 percent expect lower dollar holdings over five years. World Gold Council (16 June 2026).
- Central banks bought 863 tonnes of gold in 2025, a fourth consecutive heavy year. World Gold Council (28 January 2026).
- The dollar still holds about 58 percent of reserves on a slow decline, while BRICS mBridge reached 55.49 billion dollars cumulative volume by November 2025. Atlantic Council (10 February 2026).
- India chairs BRICS in 2026 as 99 percent of China-Russia trade settles in ruble and yuan, though de-dollarization stays slow and incremental. Carnegie (5 June 2026).

- In the ISEAS 2026 survey, 52 percent chose China and 48 percent the US when forced to align, China regaining the lead. ISEAS, via Malay Mail (7 April 2026).
- The Reserve Bank of India proposed linking BRICS+ central bank digital currencies to ease cross-border payments, and the Gulf keeps hedging between security and diversification. Ledger Insights (19 January 2026); Middle East Council (22 July 2026).

Counter-argument

The dollar's rebound argues against over-reading the blink. Reserve share recovered to 57.1 percent in Q1, valuation-adjusted Treasuries still exceed gold, and the dollar remains dominant in trade invoicing and funding; the gold crossover is partly a price effect as bullion rallied. If the Q1 rebound holds, the summer looks like volatility, not regime change. The falsifiable test is four consecutive COFER prints above 57 percent. Actors to watch: the IMF, the World Gold Council and BRICS payment-system sponsors.

Weak signals to watch

- WEAK SIGNAL A working BRICS local-currency rail could move settlement, not only reserves. Would gain weight if the CBDC bridge processes cross-border trade at scale.
- WEAK SIGNAL A middle-power tip could become durable alignment rather than hedging. Would gain weight if the 2027 ISEAS survey widens the China lean.

Decision link: Strategic Implications 4.

Strategic Implications

Four decisions this cycle puts on the table, each with a posture, an owner and the theme it draws on.

SI 1: Stand up a multi-stack operating model before FY27 planning closes

A single product now meets several non-fungible rulebooks: the conditional H200 regime, a Section 232 tariff wall that outlived the court, and a USMCA that turned annual. Size product, tax, legal and compliance for three operating environments rather than one, and treat the differences as permanent. If the walls litigate down or the reopening widens, the model still de-risks the interim.

Action: within this cycle, map each major product line against the US, EU and China rule-stacks and assign an owner for each stack in FY27 planning.

Who gains: the firms that price multi-stack early, and the treasury and compliance teams that stop re-forecasting each shock as a surprise.

DECIDE

Draws on Themes 1 and 2. Owner: COO / Chief Strategy Officer.

SI 2: Move sanctions and export-control compliance to a continuous function

The EU's 21st package and the standing reparations-loan machinery confirm that enforcement is now continuous rather than episodic. Fund a permanent screening and horizon-scanning capability sized for a new package every few weeks, not a quarterly review. If the coalition fatigues, the capability is cheap insurance rather than waste.

Action: this cycle, convert quarterly sanctions and export-control reviews into a continuous screening function with named ownership and a weekly cadence.

Who gains: the compliance and treasury functions that industrialise screening, and the firms that avoid a designation-driven shock.

PREPARE

Draws on Theme 3. Owner: Chief Compliance Officer / General Counsel.

SI 3: Stress-test the supply chain against a two-way mineral shock

The mineral weapon now points both ways: China restricts magnets and defence inputs and Washington moves to end adversary-sourcing from 2027. Model a shock in which both a Chinese export control and a US content rule bite the same bill of materials, and pre-position qualified alternative suppliers and stock. If the November 2026 pause holds, the qualification work is still a cheap hedge.

Action: within two cycles, run a two-way mineral stress test on the top three products and qualify at least one non-China and one US-compliant source for each critical input.

Who gains: the operations and procurement teams that qualify dual sources early, and the friendshoring suppliers that win the offtake.

PREPARE

Draws on Themes 3 and 2. Owner: COO / Head of Supply Chain.

SI 4: Set a reserve-asset and multi-alignment baseline and review it quarterly

The dollar blinked and gold passed Treasuries at market value, while middle powers keep hedging. Set an explicit baseline for gold and non-dollar reserve exposure and for multi-aligned market access, and review it against each COFER print. If the Q1 rebound marks a floor, the baseline simply confirms stability rather than forcing a move.

Action: by the next cycle, publish an internal reserve-asset and market-access baseline and a quarterly review tied to the COFER and gold-demand releases.

Who gains: the allocators and treasuries that read the repricing early, and the businesses that keep access across blocs.

MONITOR

Draws on Theme 4. Owner: CFO / CIO.

Scenario Matrix

Four operating environments for the next five to ten years, generated by crossing two axes the evidence base does not yet decide: whether US-China competition stays managed or hardens into partition, and whether middle powers hold a durable multi-alignment or are recaptured into blocs. The matrix is a planning tool, not a forecast; the value sits in the indicators that would tip a reader from one cell to another.

US-CHINA COMPETITION (MANAGED TO PARTITION)

MANAGED

PARTITION

MIDDLE-POWER ALIGNMENT (MULTIPOLAR AT TOP, RECAPTURED AT BOTTOM)

Cold-War Partition

The worst pairing: US-China competition hardens toward partition and middle powers are recaptured into blocs. Rulebooks become walls, the mineral and chip weapons fire in both directions, and the dollar blink becomes a durable reserve split. Firms run fully duplicated stacks or exit a bloc.

Indicators: the rare-earth pause lapses without renewal; the H200 regime reverts to denial; a reserve share falling through 55 percent for consecutive quarters.

Fragmentation Premium Compounds

Partition-level rivalry, but middle powers keep hedging. No bloc fully captures ASEAN, the Gulf or India, so the world stays multipolar while the cost of operating across it compounds: duplicated compliance, dual settlement and a standing coercion calendar. This cycle's evidence sits closest to here.

Indicators: package 22 and beyond land on schedule; the ISEAS lean holds near 52/48; gold keeps gaining reserve share while the dollar holds transactions.

Bloc Recapture

Competition stays managed at the top, but the great powers re-corral middle powers through trade, security and finance. Multi-alignment narrows as the price of access rises, and the BRICS rails stall. A more orderly world, but a less autonomous one for the middle.

Indicators: a USMCA-style extension pulls partners back in; BRICS local-currency rails fail to scale; the 2027 ISEAS [illegible] swings back toward the US.

MULTIPOLAR

Managed Multipolarity

The best pairing: US-China competition stays managed and middle powers hold a durable multi-alignment. Rulebooks remain, but as guardrails rather than walls; the dollar blink proves a floor; and firms operate across blocs at a manageable, priced-in premium. Fragmentation without rupture.

Indicators: the rare-earth pause is renewed; Section 232 duties survive but stabilise; four clean C[illegible] above 57 percent; multi-alignment normalises as posture.

RECAPTURED

What We Are Not Planning For

Four scenarios held out of the plan because the evidence base does not yet justify resourcing against them. Each carries the reinstatement trigger that would change that judgement.

Exclusion 1: A return to convergence and clean free trade

The wall rebuilt on Section 232 and USMCA turned annual; the cycle's evidence points to durable fragmentation, not a reversal. We are not planning for a return to a single converging market within the horizon.

Reinstatement trigger: *a Section 232 rollback plus a trilateral USMCA extension plus a dollar reserve share stable above 58 percent.*

Exclusion 2: A disorderly collapse of the dollar

The dollar dipped and rebounded and remains dominant in trade invoicing and funding; valuation-adjusted Treasuries still exceed gold. We are not planning for a disorderly dollar collapse within the horizon; the move is a repricing, not a rout.

Reinstatement trigger: *reserve share falling below 55 percent for two consecutive quarters alongside a failed major Treasury auction.*

Exclusion 3: A full US-China chip embargo

The H200 reopening is conditional but live, and both sides have kept a metered channel open. We are not planning for a total denial embargo within the horizon, while treating reversion as a live risk.

Reinstatement trigger: *BIS reverting the H200 regime to a denial policy, or China halting all rare-earth flows to the US.*

Exclusion 4: A collapse of the Russia sanctions coalition

The 21st package shows continued cohesion, not fracture, and the reparations machinery is advancing. We are not planning for a coalition collapse within the horizon.

Reinstatement trigger: *a major member vetoing a package or moving to unfreeze immobilised Russian reserves.*

Discussion Points

1. If the tariff wall outlived the court that struck it, do we treat Section 232 as durable and price for it, or wait for the next challenge to unwind it?
2. **For treasury and compliance:** if sanctions are now a continuous function at package 21, do we industrialise screening this cycle, or keep running it as a quarterly review?
3. If the mineral weapon points both ways, do we qualify dual China-free and US-compliant sources now, or bet that the November 2026 pause holds?
4. If the dollar blinked and gold passed Treasuries at market value, do we set an explicit non-dollar reserve baseline, or read the Q1 rebound as a floor and hold?
5. If middle powers keep hedging rather than choosing a bloc, do we make multi-alignment an explicit operating posture, or keep handling each exception ad hoc?

Source Confidence Register

41 verified sources across four themes. Tier 1 (governments, courts, regulators, multilateral bodies, national statistics, primary filings): 11. Tier 2 (think-tanks, institutional research, consultancies, law-firm analyses, industry bodies): 25. Tier 3 (quality journalism and specialist trade press): 5. No Tier 4 sources are load-bearing. Non-English originals: 0. Recency window is 180 days from the 29 July cycle; 13 sources six to twelve months old are retained as structural anchors, foundational rulings, controls and baseline datasets, used for context rather than as fresh reads. 36 of the 41 sources (88%) sit at Tier 1 or 2; the source set was frozen at 2026-07-29. Every dated source was verified against genuinely fetched page text. Detect → Assess → Decide → Act.

Theme 1: The Tariff Wall Outlived the Court

Source	Tier	Date	Key claim
Supreme Court of the United States	T1	20 Feb 2026	By a 6-3 vote on 20 February 2026 the Court held IEEPA does not authorize the President to impose tariffs, calling tariffs a branch of the taxing power vested in Congress.
International Monetary Fund	T1	1 Apr 2026	The IMF projects world trade-volume growth falling from 5.1 percent in 2025 to 2.8 percent in 2026 and long-term fragmentation losses of 0.3 to 7.0 percent of global GDP.
Office of the US Trade Representative	T1	1 Jul 2026	On 1 July 2026 the United States declined to renew the USMCA in its current form; the agreement remains in force pending resolution of US concerns.
NATO Parliamentary Assembly	T2	11 Oct 2025	The NATO PA warns extreme fragmentation scenarios could cut some countries output by up to 10 percent, with tariffs now used as a tool of coercion. *(structural anchor)*
Center for Strategic and International Studies	T2	27 Oct 2025	Under Article 34.7 the three governments must meet in July 2026 to decide whether to extend USMCA to 2042, place it under annual reviews, or let it expire in 2036. *(structural anchor)*
Covington & Burling LLP	T2	27 Feb 2026	A new 10 percent tariff under Section 122 of the Trade Act of 1974 took effect 24 February 2026

Source	Tier	Date	Key claim
			and by law may run no more than 150 days, through 24 July 2026.
White & Case LLP	T2	2 Mar 2026	All US IEEPA tariffs terminated at 12:00 am eastern on 24 February 2026 following the 20 February 2026 Supreme Court ruling.
Center for Strategic and International Studies	T2	27 Mar 2026	The bilateral review launched only on 18 March 2026 amid a roughly 10 percent year-over-year drop in investment in Mexico and over 100,000 Canadian full-time jobs lost in the first two months of 2026.
White & Case LLP	T2	2 Jul 2026	The US declining to extend USMCA on 1 July 2026 triggers annual joint reviews under Article 34.7.4, recurring yearly until extension is agreed or the deal expires on 1 July 2036.
Miller Nash LLP	T2	8 Jul 2026	The Court of International Trade ruled on 7 May 2026 that the Section 122 proclamation was ultra vires, while a 6 April 2026 proclamation expanded Section 232 duties to a tiered structure with a 50 percent rate on primary metals.
International Economic Law and Policy Blog	T3	1 Jul 2026	When a party fails to confirm extension at the six-year review, the Commission must conduct a joint review every year for the remainder of the term to 2036.

Theme 2: Decoupling by Rulebook

Source	Tier	Date	Key claim
US Bureau of Industry and Security (Federal Register)	T1	12 Nov 2025	BIS suspended the Entity List 50 percent affiliates rule from 10 November 2025 until 9 November 2026, after which the license requirements automatically reinstate. *(structural anchor)*

Source	Tier	Date	Key claim
US Bureau of Industry and Security	T1	13 Jan 2026	BIS shifted H200, AMD MI325X and equivalent AI chips to case-by-case licensing for China, conditioned on US-customer capacity, purchaser KYC screening and mandatory third-party US testing. *(structural anchor)*
European Commission	T1	3 Jun 2026	The 3 June 2026 Chips Act 2.0 proposal notes the EU produces under 10 percent of global semiconductors and is almost entirely dependent on the US and Asia for sub-5nm chips.
Mercator Institute for China Studies	T2	22 Jul 2025	Nvidia sold over 1 million H20 chips in China in 2024 versus Huawei's roughly 200,000, and Huawei controls about 70 percent of SMIC's advanced 7nm capacity, so self-reliance is aspirational. *(structural anchor)*
Center for a New American Security	T2	16 Jan 2026	Under the 50 percent-of-US-sales cap plus a 25 percent import tariff acting as an export fee, China could acquire about 890,000 H200-equivalents, roughly twice its estimated 2026 domestic capacity of 390,000. *(structural anchor)*
White & Case LLP	T2	21 Jan 2026	A 25 percent Section 232 tariff effective 15 January 2026 targets advanced logic and DRAM chips destined for China, with seven end-use exemptions. *(structural anchor)*
Center for Strategic and International Studies	T2	24 Mar 2026	TrendForce projects China's domestic share of its AI-chip market rises to about 50 percent in 2026, with Chinese-made chip equipment at 25 to 35 percent share across 2024-2025.
Bruegel	T2	13 May 2026	Only 13.75 billion euros of state aid was approved under the 2023 Chips Act against a 43 billion euro target, and the 20 percent-of-global-output-by-2030 goal is unrealistic.
Gibson Dunn	T2	27 May 2026	The Digital Omnibus defers Annex III high-risk AI obligations from 2 August 2026 to 2 December

Source	Tier	Date	Key claim
			2027 and Annex I from 2 August 2027 to 2 August 2028, replacing the conditional trigger with fixed dates.
Tom's Hardware	T3	23 Dec 2025	Nvidia is preparing to ship up to roughly 80,000 H200 GPUs to China from inventory beginning mid-February 2026, with a 25 percent revenue share payable to the US Treasury. *(structural anchor)*

Theme 3: Coercive Supply Chains

Source	Tier	Date	Key claim
International Energy Agency	T1	16 Jul 2026	The IEA Global Critical Minerals Outlook 2026 finds China accounted for over three-quarters of the growth in refined supply of key energy minerals over the past two years.
The White House	T1	20 Jul 2026	The July 2026 executive action ends waivers for acquiring covered critical materials from adversaries from 1 January 2027 unless contractors prove exhaustive domestic or allied sourcing.
Council of the European Union	T1	23 Jul 2026	The 21st package adds 218 listings, freezes assets of 94 banks, bans transactions with 14 crypto platforms and designates 41 more shadow-fleet vessels, bringing the total to 632.
Center on Global Energy Policy, Columbia SIPA	T2	11 Jul 2025	The DoD-MP Materials deal set a 110 dollar/kg NdPr price floor for 10 years, took an effective 15 percent government equity stake and a 10-year full offtake for a new magnet plant. *(structural anchor)*
Center for Strategic and International Studies	T2	9 Oct 2025	China's October 2025 controls, effective 1 December 2025, require licences for magnets with even trace Chinese material for military end

Source	Tier	Date	Key claim
			users and auto-reject military-purpose requests. *(structural anchor)*
Clark Hill PLC	**T2**	24 Nov 2025	MOFCOM Announcement No. 72 paused the enhanced US-focused rare-earth licensing until 27 November 2026, a roughly 12-month suspension described as a pause for recalibration, not reconciliation. *(structural anchor)*
Institut Jacques Delors	**T2**	1 Feb 2026	The proposed reparations loan of about 140 billion euros would draw on cash balances tied to immobilised Russian assets, of which Euroclear holds an estimated 185 billion euros of the 300 to 330 billion frozen.
CSIS Critical Minerals Security Program	**T2**	27 Apr 2026	In February 2026 China exported only about 20 tons of yttrium to the US versus over 66 tons in January 2025, showing flows stayed sharply restricted despite the truce.
Benchmark Mineral Intelligence	**T2**	25 Jun 2026	On 22 June 2026 China added 10 US entities, including MP Materials and USA Rare Earth, to its export-control list, banning dual-use exports to them with immediate effect.
Mayer Brown	**T2**	24 Jul 2026	The 21st package froze the Russian oil price cap until 14 July 2027, barring EU operators from renegotiating terms on Russian crude bound for third countries.
Argus Media	**T3**	11 Feb 2026	Indonesia plans to cut its 2026 nickel production quota to 260 to 270 million tonnes, down from roughly 379 million approved the prior year, to support prices.

Theme 4: The Quiet Repricing

Source	Tier	Date	Key claim
European Central Bank	T1	2 Jun 2026	At end-2025 gold made up 27 percent of global official reserves at market value, surpassing US Treasuries at 22 percent; valuation-adjusted, Treasuries remain higher at 26 percent.
International Monetary Fund (COFER)	T1	1 Jul 2026	The dollar's share of allocated FX reserves fell to 56.42 percent in 2025Q4, a multi-decade low below 57 percent, before rebounding to 57.13 percent in 2026Q1.
World Gold Council	T2	29 Jan 2026	Central banks bought 863 tonnes of gold in 2025, a fourth consecutive year of heavy accumulation, though below the 1,000-tonne pace of the prior three years. *(structural anchor)*
Atlantic Council GeoEconomics Center	T2	10 Feb 2026	The dollar still accounts for about 58 percent of global reserves on a slow declining trend, while BRICS mBridge reached 55.49 billion dollars cumulative volume by November 2025.
Carnegie Endowment for International Peace	T2	5 Jun 2026	India's 2026 BRICS chairmanship must reconcile expansion with coherence; 99 percent of China-Russia trade now settles in ruble and yuan, but de-dollarization stays slow and incremental.
World Gold Council	T2	16 Jun 2026	A record 45 percent of central banks expect their own gold reserves to rise over the next 12 months, and 74 percent expect lower US dollar holdings over the next five years.
Middle East Council on Global Affairs	T2	22 Jul 2026	Gulf states hedge strategically, keeping the US as primary security guarantor while framing Beijing as a complementary partner for diversification and technology.
Ledger Insights	T3	19 Jan 2026	The Reserve Bank of India is proposing that BRICS+ members link their central bank digital currencies to ease cross-border trade and tourism payments. *(structural anchor)*

Source	Tier	Date	Key claim
Malay Mail (reporting ISEAS)	T3	7 Apr 2026	In the ISEAS State of Southeast Asia 2026 survey, 52 percent of respondents chose China and 48 percent the United States when forced to align, China regaining the lead.

Claim-Fidelity Appendix: Analyst inferences and editorial framing

This briefing carries a set of analyst-generated interpretations that go beyond what any single source asserts. They are named here so a reader can trace the confidence line and disagree productively.

Analytical inferences carried by the body prose

- "The machinery holds" is an analyst frame linking four independently sourced threads, the tariff re-basing, the conditional chip reopening, the sanctions and mineral controls, and the reserve repricing, into one pattern of durable fragmentation; no single source asserts the composite.
- Reading the Section 232 rebuild as the wall "outliving the court" is our interpretation: the sources establish that IEEPA and Section 122 were struck and that Section 232 duties expanded, but the judgement that the barrier is therefore durable is ours and is contested in the counter-argument.
- Treating the H200 reopening as "leashed rather than freed" synthesises the BIS conditions and the CNAS cap-and-fee math into one reading; the case that it could widen into genuine trade is signposted, not buried.
- Casting the dollar's move as a "blink" rather than a break is an analyst characterisation of a Q4 2025 dip that rebounded in Q1 2026; the gold-versus-Treasuries crossover is reported at market value, and the valuation-adjusted counter is disclosed in the same cluster.
- The 1970s monetary-transition analogy is an interpretive overlay chosen to discipline the repricing thesis, not a claim the sources make.

Editorial framing

The title "The Summer the Dollar Blinked" is an editorial compression: the dollar's reserve share dipped below a level it had held since the 1990s and then recovered, so the phrase names a flinch and a warning rather than a fall, and the report's own evidence, the Q1 rebound and the still-dominant transactional dollar, is carried in the horizon theme. Consolidating four parallel threads under one "machinery holds" synthesis is likewise an editorial choice that compresses independent analyses into a single decision-actionable pattern; readers who prefer to treat the four themes as separate registers can do so without losing any underlying claim. As the second edition, this report grades the May cycle's dated watch-items in the continuity ledger rather than setting a fresh baseline.

The Futures Wheel and the in-body figure SVGs are analyst constructions built from the sourced claims; they carry no separate source-register entry, so a claim or quantification flag on those elements is expected and disclosed here rather than being a provenance failure.